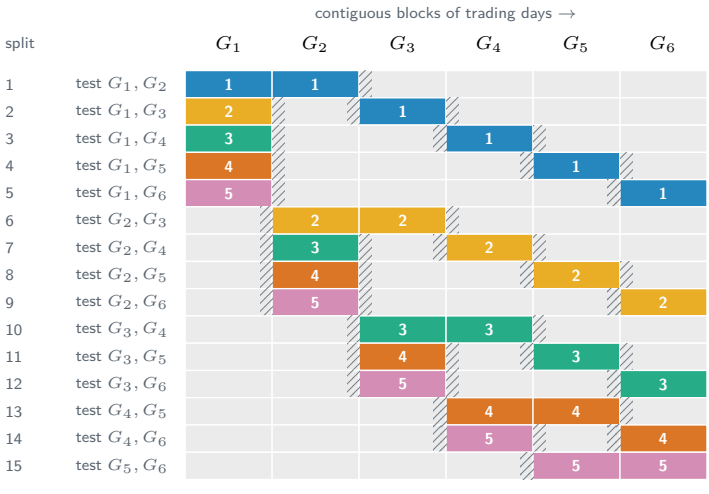


**Backtest paths** $\varphi = \frac{k}{N}\binom{N}{k} = 5$

$N = 6$ groups, $k = 2$ held out: $\binom{6}{2} = 15$ splits. Each group is a test block in 5 splits, so the numbers in the cells assign every split's test blocks to a path. Each path stitches one out-of-sample prediction for every group.

path 1
path 2
path 3
path 4
path 5

train
purged or embargoed (label overlap, lookback)